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November 3, 2021

VIA PERSONAL DELIVERY

Hon. Rob Bonta
Attorney General of California
1300 I Street, 17th Floor
Sacramento, CA 95814

RECEIVED

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**INITIATIVE COORDINATOR
ATTORNEY GENERAL'S OFFICE**

Attention: Ms. Anabel Renteria, Initiative Coordinator

Re: Request for Title and Summary for Proposed Initiative Statute

Dear Mr. Bonta:

Pursuant to Article II, Section 10(d) of the California Constitution, I hereby submit the attached proposed Initiative Statute to your office and request preparation of a circulating title and summary of the chief points and purposes of the measure as provided by law. Included with this submission are the proponent affidavits signed by the proponent of this measure as required by Sections 9001 and 9608 of the California Elections Code. My address as a registered voter is attached to this letter, along with a check for \$2,000.00.

All inquires or correspondence relative to this initiative should be directed to joe@jfwiedman.com or 510-219-6925.

Thank you for your assistance.

Sincerely,

A handwritten signature in blue ink, consisting of a series of loops and a long horizontal stroke extending to the right.

Joseph Wiedman, Proponent

Enclosure: Proposed Initiative Statute

SECTION 1. Division 47 (commencing with Section 80200) is added to the Public Resources Code, to read:

**DIVISION 47. REDUCTION AND MITIGATION OF MAJOR SOURCES OF
GREENHOUSE GAS EMISSIONS**

CHAPTER 1. Clean Cars and Clean Air Act.

ARTICLE 1. Title, Findings and Declarations, Statement of Purpose.

80200. Title.

This division shall be known and may be cited as the Clean Cars and Clean Air Act.

80201. Findings and Declarations.

The People of the State of California find and declare the following:

(a) Climate change is already having a disruptive impact on California. Our state is increasingly experiencing record-setting wildfires, droughts, and extreme weather that ruin our air quality, damage California's iconic natural beauty, destroy property, hurt our state's economy and cost lives. In order to achieve the state's carbon goals and avoid the worst impacts of climate change, action is needed now regarding two of the largest sources of GHG emissions in our state: transportation and wildfires.

(b) Transportation remains California's biggest source of the GHG emissions that cause climate change. We need to dramatically increase all Californians' access to affordable electric vehicles and charging infrastructure in order to meet our climate goals.

(c) Electric vehicles remain too expensive for many Californians who are already dealing with the high cost of living in this state. Existing financial help for consumers has not been enough for low- and middle-income California families or many organizations to be able to purchase or lease an electric vehicle. We need to make electric vehicles more affordable for all Californians.

(d) California lacks the electric vehicle charging infrastructure needed to ensure Californians with electric vehicles have convenient access to affordable charging almost anywhere - at home, at work, and everywhere they may travel throughout the state. We need to develop a network of affordable charging stations for homes and apartments and throughout the state so that driving a battery electric vehicle is just as convenient as driving a gas-powered car. And with charging at home, fueling a battery electric vehicle can be *more* convenient than fueling a gas-powered car.

(e) In addition to helping our state reach its GHG reduction goals, investing in battery electric vehicle manufacturing and infrastructure in our state will create thousands of good-paying green jobs for skilled workers.

(f) Climate change and wildfires are closely linked: as climate change gets worse, wildfires get worse, which in turn releases more climate-changing carbon emissions into the air. The continued escalation of wildfires in California is thwarting our state's fight against climate change. In 2020 alone, wildfires emitted the same amount of greenhouse gases as over 24 million cars. Wildfires now emit more GHG in California than power plants.

(g) This measure dedicates additional resources specifically to preventing future wildfires and to putting them out sooner before they do additional damage to our climate goals, our economy, our homes and communities, and the health of our families.

(h) Our state's future and our ability to meet our climate goals depend on cleaner transportation and fewer wildfires. But not everyone pays their fair share. Corporations and wealthy individuals use many loopholes and provisions of the tax code to avoid paying their fair share for public services in our state, requiring lower- and middle-income Californians to pay more to make up the difference.

(i) This measure requires an equitable contribution from corporations and the highest-income earners to fund a generational public investment towards meeting our climate change goals through a cleaner transportation sector and preventing wildfires. Specifically, investments in access to battery electric vehicles and charging infrastructure for all Californians and improvements in the prevention and combat of wildfires will generate unprecedented environmental and economic benefits for our state.

80202. Statement of Purpose.

The purpose of this division is to reduce emissions from two of the state's primary sources of greenhouse gases--transportation and wildfires--through public investments in electrification of California's passenger vehicle fleet and improvements in the prevention and combat of wildfires.

ARTICLE 2. Clean Cars and Clean Air Trust Fund.

80203. Creation of the Clean Cars and Clean Air Trust Fund.

(a) The Clean Cars and Clean Air Trust Fund ("Fund") is hereby established in the State Treasury.

(b) Notwithstanding any other provision of law:

(1) The Fund is a special fund, permanently separate and apart from the General Fund or any other state fund or account.

(2) The Fund, and every account within the Fund, is hereby declared to be a trust fund.

(c) Except as expressly provided in this division, moneys in the Fund shall not be borrowed, loaned, or otherwise transferred to the General Fund or other fund in the State Treasury. Moneys deposited into the Fund, and any account within the Fund, including any interest earned thereon, shall only be used for the specific purposes set forth in this division. No action shall be taken that permanently or temporarily changes the status of the Fund as a trust fund and special fund, or borrows, diverts, or appropriates the moneys in the Fund in a manner inconsistent with this division.

80204. Fund Oversight and Accountability.

(a) The People of the State of California hereby declare their unqualified intent for the moneys deposited into the Fund to be used to support the purposes set forth in this division

without delay or interruption. The purpose of this section is to provide oversight and accountability mechanisms to guarantee that the People's intent is carried out.

(b)(1) The Attorney General shall expeditiously investigate, and may seek civil or criminal fines and penalties for, any misuse or unauthorized use, of moneys deposited into, or allocated from, the Fund or any account within the Fund.

(2) In addition to any other remedy available at law, if any recipient of moneys provided pursuant to this division is determined by final judicial or administrative judgment, settlement, or resolution to have wilfully or knowingly used those moneys in a manner not permitted by this division or the regulations adopted hereunder, that recipient shall be permanently ineligible for receipt of additional moneys provided pursuant to this division. For purposes of this paragraph, "recipient of moneys" shall not include a state agency or department receiving a continuous appropriation pursuant to this division.

(3) Any fines recovered by the Attorney General pursuant to this subdivision shall be retained by the Attorney General.

(c) The nonpartisan California State Auditor shall conduct a biennial independent financial audit of the programs receiving moneys from the Fund. The California State Auditor shall report the findings to the Governor and both houses of the Legislature, and shall make the findings available to the public on its internet website.

(d) Every four years, the Controller shall conduct a performance audit of efforts and programs funded with moneys from the Fund to ensure the moneys are disbursed and expended solely according to this division and shall report the findings to the Governor and both houses of the Legislature, and shall make the findings available to the public on its internet website.

(e)(1) The California State Auditor and Controller shall each be separately reimbursed from moneys in the Fund for actual costs incurred in conducting the biennial audit required by

subdivision (c) and the performance audit required by subdivision (d), in an amount not to exceed six hundred thousand dollars (\$600,000) per audit.

(2) The six hundred thousand dollar (\$600,000) per audit maximum limit shall be adjusted decennially to reflect any increase in inflation as measured by the Consumer Price Index for All Urban Consumers (CPI-U). The Treasurer's office shall calculate and publish the adjustments required by this paragraph.

80205. Accounts within the Fund.

After deducting and transferring the necessary moneys pursuant to Section 80204 for the California State Auditor's financial audit and the Controller's performance audit, the Controller shall allocate and transfer the remaining moneys in the Fund to the following accounts, in the following amounts:

(a) Twenty-five percent (25%) to the BEV Charging Station Account, which is hereby created in the Fund.

(b) Fifty-five percent (55%) to the BEV Affordability Account, which is hereby created in the Fund.

(c) Twenty percent (20%) to the Wildfire GHG Emissions Reduction Account, which is hereby created in the Fund.

80206. Continuous Appropriation of Moneys in the Fund.

Notwithstanding Section 13340 of the Government Code, all moneys deposited in the accounts created within the Fund by Section 80205, together with interest earned thereon, are hereby continuously appropriated, without regard to fiscal years, as follows:

(a) All moneys in the BEV Charging Station Account to CEC solely for the purposes set forth in Chapter 2.

(b) All moneys in the BEV Affordability Account to CARB solely for the purposes set forth in Chapter 3.

(c) All moneys in the Wildfire GHG Emissions Reduction Account to CalFire solely for the purposes set forth in Chapter 4.

80207. Administration.

(a) Except as provided in Articles 3 and 4 of Chapter 4, CEC, CARB, CalFire shall use no more than 1 percent of the moneys in any account or sub-account in the Fund for administrative expenses.

(b) CEC, CARB, and CalFire shall expend and distribute moneys in the BEV Charging Station Account, BEV Affordability Account, and Wildfire GHG Emissions Reduction Account, and any sub-accounts therein, on a July 1 to June 30 fiscal year basis. Programs established by this division shall be budgeted and funded on the same July 1 to June 30 fiscal year basis.

(c)(1) Moneys may be deposited into the Fund, and all accounts and sub-accounts therein, at any time on or after January 1, 2023.

(2) CEC, CARB, and CalFire shall not expend or distribute moneys in the BEV Charging Station Account, BEV Affordability Account, or Wildfire GHG Emissions Reduction Account, or any sub-account therein, prior to January 1, 2024.

(d) In designing programs and determining funding allocations as required by this division, CEC, CARB, and CalFire shall consult with other appropriate local, regional, state, and federal agencies.

80208. Treatment of Revenues Deposited in and Expended from the Fund.

(a) Notwithstanding any other contrary provision of law, no moneys in the Fund shall be used to comply with any obligation of the state under Section 2 of Article XIII B of the California Constitution.

(b)(1) The taxes imposed by Section 17044, Section 23151.01, paragraph (2) of subdivision (b) of Section 23186, and subparagraph (B) of paragraph (1) of subdivision (d) of Section 23501, of the Revenue and Taxation Code and the revenue derived therefrom, including

investment interest, are required by this division to be deposited into the Fund, which is a special fund and trust fund permanently and irrevocably separate and apart from the General Fund.

(2) Therefore, the taxes and the revenue resulting therefrom described in paragraph (1) shall not be considered General Fund revenues for purposes of Section 8 of Article XVI of the California Constitution and its implementing statutes, and shall not be considered “General Fund revenues,” “state revenues,” or “General Fund proceeds of taxes” for purposes of subdivisions (a) and (b) of Section 8 of Article XVI of the California Constitution and its implementing statutes.

80209. Non-Supplantation.

Moneys allocated in the Fund shall be used to increase and enhance the achievement of the purposes and objectives described in this division, and not to replace any other existing revenues for those purposes or objectives. The State bears the burden of proving by clear and convincing evidence that the moneys in the Fund are not being used to supplant preexisting revenues.

CHAPTER 2. BEV CHARGING STATION INFRASTRUCTURE

ARTICLE 1. Purpose of Chapter.

80210. Purpose.

The purpose of this chapter is to reduce GHG emissions from California’s transportation sector by:

(a) Expanding and improving the state’s network of Battery Electric Vehicle (BEV) charging stations in order to make refueling or recharging a BEV at least as accessible and convenient, if not more so, than refueling a diesel or gasoline-powered vehicle.

(b) Ensuring California’s transportation infrastructure meets the needs of the state’s clean energy future.

ARTICLE 2. Implementation by California Energy Commission.

80211. Implementation.

(a) CEC shall use the moneys in the BEV Charging Station Account, and the sub-accounts established therein, to fund construction, deployment, operation, or maintenance of BEV charging stations in this state, and public education outreach necessary to ensure California residents are aware of the incentives made available by this chapter. CEC may use moneys in the BEV Charging State Account, and the sub-accounts established therein, for direct expenditures, rebates, grants, or loans.

(b) CEC shall adopt rules and regulations in an open public process to achieve the maximum technologically feasible and cost-effective construction and deployment of BEV charging stations, subject to the criteria set forth in this chapter.

(c) Moneys made available pursuant to this chapter shall be awarded on a first-come, first-serve basis. Where moneys provided under any article within this chapter are exhausted while additional applications are still outstanding, CEC shall place those outstanding applications on a priority waiting-list for consideration as soon as additional moneys are available.

80211.5. Sub-Accounts.

(a) Except as provided in subdivision (d), moneys in the BEV Charging Station Account shall be deposited into the following sub-accounts as directed by CEC, which are hereby established therein:

(1) At least fifty percent (50%) into the charging station disadvantaged community sub-account.

(2) After the deposit into the charging station disadvantaged community sub-account pursuant to paragraph (1), the remainder shall be deposited into the charging station general sub-account.

(b) Moneys in the charging station disadvantaged community sub-account shall be allocated for the following:

(1) Projects in disadvantaged communities.

(2) Projects for households or communities described in subdivision (c) of Section 39713 of the Health and Safety Code, as enacted by Assembly Bill 1550, Statutes of 2016, Chapter 369.

(c) Moneys in the charging station general sub-account shall be allocated for projects that are not covered by subdivision (b).

(d)(1) The maximum balance in the charging station disadvantaged community sub-account shall be two hundred percent (200%) of the amount deposited therein during the 2023-2024 fiscal year.

(2) As long as the charging station disadvantaged community sub-account is at or above its maximum balance, one hundred percent (100%) of the moneys transferred to the BEV Charging Station Account shall be deposited into the charging station general sub-account.

ARTICLE 3. Multifamily Dwelling BEV Charging Stations.

80212. Multifamily Dwelling BEV Charging Stations.

(a) Forty-five percent (45%) of the moneys in each of the sub-accounts within the BEV Charging Station Account shall be used to fund construction, installation, operations, and maintenance of charging stations at multifamily dwelling properties.

(b) Priority for funding shall be given to applicants that obtain matching funds or additional moneys from other federal, state, or local government or electric utility sources.

(c) Installation of infrastructure or equipment located on the customer side of the electrical meter funded by this section shall be performed by a contractor with the appropriate license classification, as determined by the Contractors' State License Board, and at least one electrician on each crew, at any given time, who holds an Electric Vehicle Infrastructure Training Program certification.

(d) A multifamily dwelling property may obtain funding for more than one Level 2 charging station installation, up to a maximum of one charging port for every two parking spaces.

(e)(1) Eligible applicants for funding under this section shall be the following:

(A) Owners or managers of multifamily dwelling properties, or in the case of a condominium project, the condominium association or manager.

(B) A third party approved by CEC.

(2) CEC shall condition each award of funding on the condition that multifamily property tenants shall not be billed more than the sum of the following for use of the level 2 charging station:

(A) The actual cost of electricity. For purposes of this subparagraph, CEC may require the actual cost of electricity to be calculated on a per-user basis including any applicable low-income consumer discounts and time of use rates available to a particular user.

(B) Reasonable costs for the operation and maintenance to the party that owns and operates the charging stations.

(f) CEC may award funding to applicants based on a competitive bidding process that minimizes costs to the user while maximizing uptime.

ARTICLE 4. Single-Family Dwelling BEV Charging Stations.

80213. Single-Family Dwelling BEV Charging Stations.

(a) Thirty-five percent (35%) of the moneys in each of the sub-accounts within the BEV Charging Station Account shall be used to fund charging stations at single-family dwelling properties as set forth in this section.

(b)(1) Moneys described in subdivision (a) shall be made available as rebates, grants, or direct expenditures for installation of NEMA 240V outlets, including electric panel upgrades, at single-family dwelling properties.

(2) Priority for funding shall be given to applicants that obtain matching funds or additional moneys from other federal, state, or local government or electric utility sources.

(c)(1) The maximum amount of funding provided per NEMA 240V outlet installation, including electric panel upgrades, shall be two thousand dollars (\$2,000).

(2) The maximum amount of funding set forth in paragraph (1) shall be adjusted not less than biennially to reflect any increase in inflation as measured by the Consumer Price Index for All Urban Consumers (CPI-U). CEC shall calculate and publish the adjustments required by this paragraph.

(d)(1) If the installation of a NEMA 240V outlet, including electric panel upgrades, costs less than the maximum amount described in subdivision (c), the difference may be applied to the additional installation of, or purchase of, a separate UL-listed Level 2 charging station or a UL-listed Level 2 vehicle charging cable.

(2) Reimbursement for a vehicle charging cable or charging station shall be contingent upon providing proof of purchase of said charging cable or charging station.

(e) Rebate eligibility shall be determined by CEC. In determining rebate eligibility, CEC shall prioritize maximizing the number of California residents who gain the ability to afford to install NEMA 240V outlets and corresponding electrical upgrades as a result of this section.

(f) Installation of infrastructure or equipment located on the customer side of the electrical meter funded by this section shall be performed by a contractor with the appropriate license classification, as determined by the Contractors' State License Board, and at least one electrician on each crew, at any given time, who holds an Electric Vehicle Infrastructure Training Program certification.

ARTICLE 5. Fast Charging BEV Charging Stations.

80214. Funding for Level 3 BEV Charging Stations.

(a) Twenty (20%) of the moneys in each of the sub-accounts within the BEV Charging Station Account shall be used to fund deployment of Level 3 charging stations as set forth in this section.

(b)(1) Moneys described in subdivision (a) shall be made available as rebates, grants, subsidized loans, or direct expenditures for deployment of Level 3 charging stations.

(2) CEC shall prioritize allocations to low-income communities, city centers, airports, and other locations that CEC determines are not well-served by fast-charging infrastructure.

(c) The State of California shall prioritize, work with local governments, and fast-track, to the maximum extent possible, permitting and zoning for installation of Level 3 charging stations in order to minimize the time needed to make those charging stations operational.

(d) CEC shall award funding based on competitive bidding processes to third party providers of charging station equipment, maintenance, operation, and installation to minimize costs to users while maximizing uptime.

(e) The state shall make available state-owned properties as sites for installation of L3 charging station infrastructure where doing so is feasible, reasonable, cost-effective, and would further the purposes of this division.

CHAPTER 3. ELECTRIFICATION OF CALIFORNIA'S PASSENGER VEHICLE FLEET

ARTICLE 1. Purpose of Chapter.

80215. Purpose.

The purpose of this chapter is to reduce GHG emissions from California's transportation sector by:

- (a) Reducing financial barriers to the acquisition of BEVs.
- (b) Making BEVs accessible to all Californians regardless of income.
- (c) Incentivizing the use of more climate-friendly modes of transportation, such as public transit and active mobility options, through grants and financial assistance.

ARTICLE 2. Implementation by California Air Resources Board.

80216. Implementation.

(a) CARB shall use the moneys in the BEV Affordability Account, and the sub-accounts established therein, to provide financial incentives to fund all of the following for California

residents, including public education outreach necessary to ensure awareness of the financial incentives, as set forth in this chapter:

- (1) Public transit and active mobility programs.
- (2) The purchase of factory new BEVs.
- (3) The purchase of used BEVs.

(b) CARB shall adopt rules and regulations in an open public process to implement the financial incentives described in subdivision (a) in order to achieve further reductions in GHG emissions in this state, subject to the criteria set forth in this chapter.

(c) Moneys made available pursuant to this chapter shall be awarded on a first-come, first-serve basis. Where moneys provided under any article within this chapter are exhausted while additional applications are still outstanding, CARB shall place those outstanding applications on a priority waiting-list for consideration as soon as additional moneys are available.

80216.5. Sub-Accounts.

(a) Except as provided in subdivision (d), moneys in the BEV Affordability Account shall be deposited into the following sub-accounts as directed by CARB, which are hereby established therein:

- (1) At least fifty percent (50%) into the BEV disadvantaged community sub-account.
- (2) After the deposit into the BEV disadvantaged community sub-account pursuant to paragraph (1), the remainder shall be deposited into the BEV general sub-account.

(b) Moneys in the BEV disadvantaged community sub-account shall be allocated to California residents described in paragraph (1) of subdivision (e) of Section 80227 who live in either of the following:

- (1) A disadvantaged community.
- (2) A household or community described in subdivision (c) of Section 39713 of the Health and Safety Code, as enacted by Assembly Bill 1550, Statutes of 2016, Chapter 369.

(c) Moneys in the BEV general sub-account shall be allocated to California residents not covered by subdivision (b).

(d)(1) The maximum balance in the BEV disadvantaged community sub-account shall be two hundred percent (200%) of the amount deposited therein during the 2023-2024 fiscal year.

(2) As long as the BEV disadvantaged community sub-account is at or above its maximum balance, one hundred percent (100%) of the moneys transferred to the BEV Affordability Account shall be deposited into the BEV general sub-account.

ARTICLE 3. Clean Vehicle Assistance Program.

80216.7. Providing Additional Funding to the Clean Vehicle Assistance Program.

(a)(1) Moneys in the BEV disadvantaged community sub-account may be used by CARB to provide additional funding for the existing Clean Vehicle Assistance Program, so long as that program continues in existence.

(2) In no event shall more than twenty million dollars (\$20,000,000) be allocated for this purpose in any given fiscal year.

(b) Moneys shall only be provided to the Clean Vehicle Assistance Program if the following conditions are met:

(1) The moneys are used for grants, loans, subsidized loans, education and awareness, and other efforts for acquisition of BEVs and plug-in hybrid electric vehicles. Hybrid vehicles shall not be eligible for funding under this section.

(2) The Clean Vehicle Assistance Program continues to focus on lower income Californians using an income threshold system.

ARTICLE 4. Public Transit and Active-Mobility Credit Program.

80217. Public Transit and Active-Mobility Credit Program.

(a)(1) Moneys in the BEV Affordability Account, and the sub-accounts established therein, shall be used by CARB to provide a credit of not more than seven thousand five hundred

dollars (\$7,500) towards purchases of a bicycle, an electric bicycle, transit passes, or other active mobility options as designated by CARB. California residents shall obtain the credits by trading into CARB, or an entity designated by CARB, an owned (free of lien holders) gasoline or diesel powered vehicle that is more than ten years old and has been operating in and registered in California for at least the immediately prior 12 months. The traded-in vehicle shall not return to usage and shall be recycled as CARB sees fit.

(2) CARB may model implementation of this section upon CARB's "Clean Cars 4 All" program.

(b) The credit made available under this section shall not be simultaneously combined with any point-of-sale rebate or other incentive made available under this chapter.

(c) The credit amount and eligibility therefor shall be determined by CARB. In determining the credit amount and eligibility, CARB shall prioritize maximizing the number of California residents who benefit from this section.

ARTICLE 6. Factory New BEV Incentive Program.

80219. Factory New BEV Incentive Program.

(a) Moneys in the BEV Affordability Account, and the sub-accounts established therein, shall be used to fund rebates, grants, and other financial incentives determined by CARB for all California residents to purchase or lease factory new BEVs, as set forth in this section.

(b)(1) A California resident described in paragraph (1) of subdivision (e) of Section 80227 shall be eligible for a refundable point-of-sale rebate when purchasing or leasing a factory new BEV. The rebate shall be transferable to licensed automobile dealers and other financing entities.

(2) Rebate amount and eligibility shall be determined by CARB. In determining rebate amount and eligibility, CARB shall prioritize maximizing the number of California residents who gain the ability to afford to lease or purchase a factory new BEV as a result of this section.

(c) The rebate described in subdivision (b) shall only be available when a California resident described in paragraph (1) of subdivision (e) of Section 80227 purchases or leases a factory new BEV that meets the following requirements:

(1) For sedans, the vehicle has:

(A) An U.S. EPA estimated range of at least 149 miles.

(B) A manufacturer's suggested retail price (MSRP) less than forty-five thousand dollars (\$45,000).

(2) For sport utility vehicles and pickup trucks, the vehicle has:

(A) An U.S. EPA estimated range of at least 149 miles.

(B) A manufacturer's suggested retail price (MSRP) less than fifty-nine thousand dollars (\$59,000).

(e)(1) In addition to the rebate described in subdivision (b), all California residents shall be eligible for a two thousand five hundred dollar (\$2,500) refundable point-of-sale rebate towards the purchase of a factory new BEV if at least one of the following conditions exists:

(A) The BEV was manufactured or underwent final assembly in the State of California.

(B) The BEV's primary propulsion battery was manufactured within the State of California.

(2) The point-of-sale rebate described in this subdivision shall only be available for factory new BEVs that meet the range and MSRP requirements set forth in subdivision (c).

(f)(1) California residents described in paragraphs (2) and (3) of subdivision (e) of Section 80227 shall be eligible for a two thousand five hundred dollar (\$2,500) refundable point-of-sale rebate per vehicle purchased to apply toward the purchase of factory new BEVs for use in California. Rebates provided pursuant to this subdivision shall be funded from the BEV general sub-account.

(2) The point-of-sale rebate described in this subdivision shall only be available for factory new BEVs that meet the range and MSRP requirements set forth in subdivision (c).

(g) The rebate described in subdivision (e) may be combined with the rebate described in subdivision (f) or the rebate described in subdivision (b). No point-of-sale rebate(s) made

available under this section shall be combined with any other point-of-sale rebate(s) made available under any other section of this chapter.

(h) CARB shall not impose a limit on the number of rebates that any California resident may obtain pursuant to this article.

(i) Not sooner than three years after the final regulations implementing this article have been in effect, CARB may adjust the maximum incentive amount described in subdivision (e) based upon the following:

(1) The amount of moneys available in the BEV Affordability Account.

(2) The demand for rebates offered pursuant to this section.

(j) The manufacturer's suggested retail price (MSRP) caps set forth in this section shall be adjusted not less than biennially to reflect any increase in inflation as measured by the Consumer Price Index for All Urban Consumers (CPI-U). CARB shall calculate and publish the adjustments required by this subdivision.

ARTICLE 6. Used BEV Incentive Program.

80220. Used BEV Incentive Program.

(a) Moneys in the BEV Affordability Account, and the sub-accounts established therein, shall be used to fund rebates, grants, and other financial incentives determined by CARB for California residents to purchase used BEVs, as set forth in this section.

(b)(1) A California resident described in paragraph (1) of subdivision (e) of Section 80227 shall be eligible for a refundable point-of-sale rebate, when purchasing a used BEV that satisfies the requirements of subdivision (c). The rebate shall be eligible to be transferred to licensed automobile dealers and other financing entities.

(2) Rebate amount and eligibility shall be determined by CARB. In determining rebate amount and eligibility, CARB shall prioritize maximizing the number of California residents who gain the ability to afford to lease or purchase a used BEV as a result of this section.

(c)(1) The rebate described in subdivision (b) shall only be available when a California resident described in paragraph (1) of subdivision (e) of Section 80227 purchases a used BEV at least two (2), but not more than an eight (8), years old with an U.S. EPA estimated range of at least 149 miles and a purchase price less than thirty five thousand dollars (\$35,000).

(2) CARB shall adopt vehicle standards for used BEVs eligible for rebates under this article.

(e) The point-of-sale rebate available under this section shall only be used once per BEV, and shall be tracked on a vehicle identification number (VIN) basis.

(f)(1) A seller of a used BEV shall provide the buyer with accurate information regarding whether the point-of-sale rebate available under this section has already been used for the BEV. CARB may impose a penalty upon sellers who fail to comply with this paragraph.

(2)(A) Where the vehicle is purchased from a licensed automobile dealer, the rebate may be transferred to the dealer. Where the rebate is transferred to the dealer, the dealer shall discount the purchase price not less than the amount of the rebate on top of other discounts offered by the dealer, if any.

(B) When rebate moneys are unavailable pursuant to this article, subparagraph (A) shall not apply.

(g) No rebate made available under this section shall be combined with any incentive provided under Section 80217.

(h) CARB shall not impose a limit on the number of rebates that any California resident may obtain pursuant to this article.

(j) California residents described in paragraphs (2) and (3) of subdivision (e) of Section 80227 shall be eligible for a one thousand five hundred dollar (\$1,500) refundable point-of-sale rebate per vehicle purchased to apply toward the purchase of used BEVs for use in California. Rebates provided pursuant to this subdivision shall be funded from the BEV general sub-account.

(2) The point-of-sale rebate described in this subdivision shall only be available for used BEVs that meet the range and purchase price requirements set forth in subdivision (c).

**ARTICLE 8. Minimum Ownership or Lease Requirements for Compliance with this
Chapter.**

80221. Minimum Registration Requirements.

(a)(1) Except for the incentives provided under Sections 80217 and 80218, any BEV for which an incentive is obtained pursuant to this chapter must be registered with the California Department of Motor Vehicles for a minimum of twenty-four (24) consecutive months.

(2) CARB may waive this requirement for California residents who are on active military duty at the time they obtain the incentive.

(b) CARB shall periodically cross-check BEV vehicle identification numbers against vehicle registrations to ensure covered vehicles comply with the requirements of this section. CARB or its agents may recoup from the original incentive recipient up to a pro rata amount of the original incentive provided based on noncompliance with subdivision (a), and may pursue any other remedies available at law.

CHAPTER 4. REDUCING WILDFIRE GHG EMISSIONS

ARTICLE 1. Purpose of Chapter.

80222. Purpose.

The purpose of this chapter is to reduce GHG emissions from wildfires in California through improvements in California's wildfire fighting, mitigation, and prevention capabilities.

ARTICLE 2. Implementation by CalFire.

80223. Implementation.

(a) CalFire shall use the moneys in the Wildfire GHG Emissions Reduction Account to fund acquisition of wildfire-fighting and mitigation resources and for wildfire prevention.

(b) CalFire shall adopt rules and regulations in an open public process to achieve the objectives described in subdivision (a), subject to the criteria set forth in this chapter.

ARTICLE 3. Wildfire-Fighting Resources.

80224. Additional Resources for Fighting Wildfires.

(a) Moneys in the Wildfire GHG Emissions Reduction Account shall be used for acquisition of additional resources to fight and mitigate wildfires in this state, as set forth in this section.

(b) The following resources may be procured or acquired with the moneys made available pursuant to this section:

- (1) Additional permanent or seasonal firefighters.
- (2) Additional fixed and rotary wing aircraft used for fighting wildfires.
- (3) Advanced wildfire detection and monitoring systems, including camera and satellite networks.

ARTICLE 4. Wildfire Prevention.

80225. Wildfire Prevention.

(a) Moneys in the Wildfire GHG Emissions Reduction Account shall be used to fund efforts to prevent wildfires as set forth in this section.

(b) Moneys made available pursuant to this section shall be used to improve prevention of future wildfires by modifying the fuel environment of California forests through proven methods backed by science. These methods shall be separate from logging. Projects funded by this section shall focus on, but are in no way limited to, the following:

- (1) Large scale projects for economies of scope/scale.
- (2) Projects near residential areas.

- (3) Projects in remote and/or rural residential areas.
- (4) Retaining staff and training and hiring personnel necessary to carry out the efforts described in this section.
- (5) Working with investor-owned and publicly owned electric utilities to bury or otherwise fireproof electrical power lines.
- (c) Permitting shall be streamlined to the extent possible.
- (d) CalFire shall also run education and awareness campaigns on the value of wildfire prevention.

CHAPTER 5. DEFINITIONS

80227. Definitions.

For purposes of this division, as used in both the singular and plural form, the following definitions shall apply:

- (a) "BEV charging station" means either a Level 2 charging station or a Level 3 charging station as defined in this section.
- (b) "Battery electric vehicle" or "BEV" means either of the following:
 - (1) A vehicle that meets the state's super ultra-low emission vehicle standard for exhaust emissions and the federal inherently low-emission vehicle evaporative emission standard, as defined in Part 88 (commencing with Section 88.101-94) of Title 40 of the Code of Federal Regulations, as that part read on January 1, 2016, and is powered entirely by an electric motor drawing current from rechargeable storage batteries.
 - (2) A vehicle fueled entirely by electricity stored in the onboard battery
- (c) "California Air Resources Board" or "CARB" means the State Air Resources Board established at Division 26 (commencing with Section 39000) of the Health and Safety Code.
- (d) "California Department of Forestry and Fire Protection" or "CalFire" means the Department of Forestry and Fire Protection established at Chapter 2.5 (commencing with Section 700) of Division 1 of the Public Resources Code.
- (e) "California resident" means all of the following:

(1) An individual resident of this state.

(2) A legal entity that has employees or owns property in California.

(3) A state or local government agency.

(g) "City center" means an area within an incorporated municipality intended by the city for development of an urban center with higher intensity residential, retail, office, and entertainment uses.

(h) "Condominium project" means a condominium project described in subdivision (a) of Section 4125 of the Civil Code.

(i) "Condominium association" has the same meaning as described in Section 4080 of the Civil Code.

(j) "Disadvantaged community" or "DAC" means a community with an annual median household income that is less than 80 percent of the statewide annual median household income.

(k) "Energy Resources Conservation and Development Commission," "California Energy Commission," or "CEC" means the State Energy Resources Conservation and Development Commission established at Chapter 3 (commencing with Section 25200) of Division 15 of the Public Resources Code.

(l) "Greenhouse gas" or "GHG" means carbon dioxide (CO₂), methane (CH₄), nitrous oxide (N₂O), sulfur hexafluoride (SF₆), hydrofluorocarbons (HFCs), perfluorocarbons (PFCs), and other fluorinated greenhouse gases as defined in 17 Cal. Code Regs. section 95102.

(m) "Level 2 charging station" means a BEV charging station with a typical Voltage rating of 208-250V and a typical Amperage rating of 15-60 Amperes and a typical male plug of SAE J1772 to mate or interact with a typical BEV port or inductive charging or other charging system.

(n) "Level 3 charging station" means a BEV charging station with at least 150 kilowatts of rated maximum power designed to "fast charge" BEVs. These stations should have a typical connection system like "Combined Charging System" (CCS) to mate with a typical BEV fast-charging port.

(o) "Licensed automobile dealer" means a person or entity licensed by the State of California to engage in the sale of vehicles.

(p) "Logging" means the harvesting of twelve (12) or more qualifying trees from one legal parcel during any twelve (12) consecutive month period for a commercial purpose.

(1) As used in this subdivision, "commercial purpose" means the trees are primarily being harvested for financial reasons.

(2) As used in this subdivision, "qualifying tree" means any woody perennial plant characterized by having one or more main stems or trunks with one stem or trunk of which measures ten (10) inches or more diameter at breast height or specifically four (4) feet, six (6) inches above natural grade as measured on the uphill side.

(q) "Low-income community" means any of the following:

(1) A community in which the median income of the persons in the community, area, or city is less than 70 percent of the median income in the state.

(2) A census tract or equivalent geographic area defined by the United States Census Bureau in which at least 50 percent of households have an income less than 60 percent of the area median gross income.

(3) Census tracts with median household incomes at or below 80 percent of the statewide median income or with median household incomes at or below the threshold designated as low income by the Department of Housing and Community Development's list of state income limits adopted pursuant to Section 50093 of the Health and Safety Code.

(r) "Multifamily dwelling property" means a real property improvement intended for human habitation with more than 4 dwelling units.

(s) "NEMA 240V Outlet" means typically a NEMA 14 series outlet. The NEMA 14 devices are four-wire devices (hot-hot-neutral-ground) available in ratings from 15 to 60 Amperes. The voltage rating is 250 Volts maximum voltage.

(t) "Single-family dwelling property" means a real property improvement intended for human habitation with 4 or fewer dwelling units.

(u) "State or local government agency" means the State of California, a city, a county, a city and county, or a special district.

(v) "Vehicle charging cable" means a BEV charging cable or device that typically mates with a NEMA 240V outlet on one end with a typical Voltage rating of 208-250V and a typical

Amperage rating of 15-60 Amperes and a typical male plug of SAE J1772 on the other end to mate with a BEV charging port.

(w) "Active mobility" means bicycles, walking, and electric bicycles.

CHAPTER 6. EMERGENCY REGULATIONS.

80228. Emergency Regulations.

(a) CEC, CARB, and CalFire shall adopt emergency regulations sufficient to implement this division.

(b) Any emergency regulation adopted pursuant to this chapter shall be adopted in accordance with Chapter 3.5 (commencing with Section 11340) of Part 1 of Division 3 of Title 2 of the Government Code, and, for purposes of that chapter, including Section 11349.6 of the Government Code, the adoption of the regulation is an emergency and shall be considered by the Office of Administrative Law as necessary for the immediate preservation of the public peace, health and safety, and general welfare. Notwithstanding any other contrary provision of law, an emergency regulation adopted by CEC, CARB, or CalFire pursuant to this chapter shall remain in effect until a permanent replacement regulation has been adopted.

CHAPTER 7. AMENDMENTS.

80229. Amendment of Division.

(a) Except as provided in subdivision (b), the Legislature may amend this division by a statute passed in each house of the Legislature by rollcall vote entered into the journal, four-fifths of the membership concurring, provided that the statute is consistent with, and furthers the purpose of, this division.

(b) No statute enacted after October 1, 2021, but prior to the effective date of this division, that would constitute an amendment of this division, shall be operative after the effective date of this division unless the statute was passed in accordance with the requirements of subdivision (a).

SECTION 2. Section 17044 is hereby added to Chapter 2 (commencing with Section 17041) of Part 10 of Division 2 of the Revenue and Taxation Code, to read:

17044. (a) For each taxable year beginning on or after January 1, 2023, in addition to any other taxes imposed by this part, an additional tax shall be imposed at the rate of 1.75 percent on that portion of a taxpayer's taxable income in excess of two million dollars (\$2,000,000).

(b) For purposes of applying Part 10.2 (commencing with Section 18401) of Division 2, the tax imposed under this section shall be treated as if imposed under Section 17041.

(c) The following shall not apply to the tax imposed by this section:

(1) The provisions of Section 17039, relating to the allowance of credits.

(2) The provisions of Section 17041, relating to filing status and recomputation of the income tax brackets.

(3) The provisions of Section 17045, relating to joint returns.

(d) The revenues generated from the tax imposed by this section shall be deposited into the Clean Cars and Clean Air Trust Fund established by Section 80203 of the Public Resources Code.

SECTION 3. Section 23151.01 is hereby added to Article 2 (commencing with Section 23151) of Chapter 2 of Part 11 of Division 2 of the Revenue and Taxation Code, to read:

23151.01. (a) With the exception of banks and financial corporations, every corporation doing business within the limits of this state and not expressly exempted from taxation by the provisions of the Constitution of this state or by this part, shall annually pay to the state, for the privilege of exercising its corporate franchises within this state, a tax according to or measured by its net income, to be computed at the rate of 2.16 percent upon the basis of its net income for the next preceding income year.

(b) The tax imposed by subdivision (a) shall apply for taxable years beginning on or after January 1, 2023.

(c) The tax imposed by subdivision (a) shall be in addition to the other taxes imposed by this part.

(d) The tax imposed by subdivision (a) shall only apply to corporations with more than ten million dollars (\$10,000,000) in net income during the income year.

(e) The revenues generated from the tax imposed by this section shall be deposited into the Clean Cars and Clean Air Trust Fund established by Section 80203 of the Public Resources Code.

SECTION 4. Section 23186 of the Revenue and Taxation Code is hereby amended, to read:

23186. (a) For taxable years ending on or after December 31, 1995, the rate of tax on banks and financial corporations shall be the rate of tax specified in Section 23151, plus 2 percent.

(b) For taxable years ending on or after January 1, 2023, the rate of tax on banks and financial corporations shall be both of the following:

(1) The sum of the rates described in subdivision (a).

(2) An additional 2.16 percent.

(c) The revenues generated from the additional tax imposed by paragraph (2) of subdivision (b) shall be deposited into the Clean Cars and Clean Air Trust Fund established by Section 80203 of the Public Resources Code.

(d) The additional tax imposed by paragraph (2) of subdivision (b) shall only apply to banks and financial corporations with more than ten million dollars (\$10,000,000) in net income during the income year.

SECTION 5. Section 23501 of the Revenue and Taxation Code is hereby amended, to read:

23501. (a) There shall be imposed upon every corporation, other than a bank, for each taxable year, a tax at the rate of 7.6 percent upon its net income derived from sources within this state on or after January 1, 1937, other than income for any period for which the corporation is

subject to taxation under Chapter 2 (commencing with Section 23101), according to or measured by its net income.

(b) For calendar or fiscal years ending after June 30, 1973, the rate of tax shall be 9 percent instead of 7.6 percent as provided by subdivision (a).

(c) For calendar or fiscal years ending after December 31, 1979, the rate of tax shall be the rate specified for those years by Section 23151.

(d)(1) For calendar or fiscal years ending after December 31, 2022, the rate of tax shall be the both of the following:

(A) The rate specified for those years by Section 23151

(B) The additional rate specified for those years by Section 23151.01.

(2) This subdivision shall only apply to corporations described in subdivision (d) of Section 23151.01.

(3) The additional tax imposed by subparagraph (B) of paragraph (1) shall be deposited into the Clean Cars and Clean Air Trust Fund established by Section 80203 of the Public Resources Code.

SECTION 6. Severability.

The provisions of this Act are severable. If any portion, section, subdivision, paragraph, subparagraph, clause, sentence, phrase, word, or application of this Act is for any reason held to be invalid by a decision of any court of competent jurisdiction, that decision shall not affect the validity of the remaining portions of this Act. The People of the State of California hereby declare that they would have adopted this Act and each and every portion, section, subdivision, paragraph, subparagraph, clause, sentence, phrase, word, and application not declared invalid or unconstitutional without regard to whether any part of this Act or application thereof would be subsequently declared invalid

SECTION 7. Conflicting and Non-Conflicting Initiative Measures.

(a) Conflicting Initiative Measures.

In the event that this initiative measure and another initiative measure or measures that raises state revenues to fund reductions in GHG emissions from transportation and wildfires shall appear on the same statewide election ballot, the other initiative measure or measures shall be deemed to be in conflict with this measure. In the event that this initiative measure receives a greater number of affirmative votes, the provisions of this measure shall prevail in their entirety, and the provisions of the other initiative measure or measures shall be null and void.

(b) Non-conflicting Initiative Measures.

(1) This initiative measure is an exercise of the statewide voters' initiative power pursuant to Section 1 of Article IV, and Section 8 of Article II, of the California Constitution.

(2) Other initiative measures that deal with the procedures for the adoption of taxes, fees, and charges by the state Legislature, local legislative bodies, and local voters deal with separate and distinct constitutional powers from the constitutional powers described in paragraph (1).

(3) For purposes of subdivision (b) of Section 10 of Article II of the California Constitution, because they deal with separate and distinct constitutional powers, this initiative measure, as described in paragraph (1), does not conflict with any initiative measure described in paragraph (2).

(c) If this initiative measure is approved by the voters but superseded in whole or in part by any other conflicting initiative measure approved by the voters at the same election, and such conflicting measure is later held invalid, this measure shall be self-executing and given full force and effect.

SECTION 8. Liberal Construction.

This Act is an exercise of the initiative power of the people of the State of California pursuant to Article II and Article IV of the Constitution, and shall be liberally construed to effectuate the purposes set forth in this Act.

SECTION 9. Standing.

Notwithstanding any other provision of law, if the state or any of its officials fail to defend the constitutionality of this act, following its approval by the voters, any other state or local government agency of this state shall have the authority to intervene on behalf of the State of California in any court action challenging the constitutionality of this act for the purpose of defending its constitutionality, whether that action is in state or federal trial court, on appeal, or on discretionary review by the Supreme Court of California or the Supreme Court of the United States. The reasonable fees and costs of defending the action shall be a charge on funds appropriated to the Department of Justice, which shall be satisfied promptly.